

CHAPTER 7

HARD STRUCTURES

“Hard structures” will be necessary to help your family money survive for generations. Without them, the fortune is not likely to last long.

We call them “hard structures” because they are expensive to put up. And they are hard like concrete or tempered steel; once in place, they’re difficult to change. They are also expensive. You need lawyers, accountants, and tax experts to help you set them up.

Hard structures are the legal structures—trusts, tax and estate planning, and so on—that make having money a burden. It takes time and hard work to get them in place and to understand them. And then you must remember what you’ve done and why.

This, of course, is the way it has to work. It’s a feature of the “zombification” of the U.S. and other advanced economies. You need to hire able, expensive professionals to help you do what you shouldn’t have to do at all. Some of the best brains in the nation are put to work at things that do not add value; they just prevent a bigger loss of value. Trusts, corporate entities, partnerships, tax montages, insurance programs—they do not make the world a richer place; they just help prevent you from getting poorer. The whole idea is to stay ahead of the efforts of politicians (and others) to separate you from your money. And it becomes something of an arms race. The feds close one loophole. You have to find another one. The feds close one door, and you open up another one somewhere else.

We do not presume that the impositions—nor the attempts to avoid them—are efficient or fair. To the contrary, the whole system is twisted and grotesque. It is a very effective way of keeping lawyers and accountants employed and an especially effective way of transferring money from the pockets of the public into the pockets of the legal technicians. They write